EQUITY RESEARCH REPORT

Apple Inc. (NASDAQ: AAPL)

Sector: Information Technology | Sub-Industry: Consumer Electronics

Report Date: January 28, 2026 | Data As-Of: Close of 2026-01-28

RECOMMENDATION	LAST CLOSE	TTM EPS	TTM P/E
HOLD	**$285.30**	**$7.67**	**37.2x**

1. Executive Summary

Key Metrics Snapshot

Ticker / Exchange	AAPL / NASDAQ Global Select
Last Close Price	$285.30 (2026-01-28)
6-Month Price Change	+33.4%
Trading Range (data window)	$202.38 – $289.40
Approx. Market Cap	~$4220B (diluted shares × last close)
TTM Revenue	$422.1B
TTM Net Income	$114.1B
TTM Diluted EPS	$7.67
7 / 30 / 90-day SMA	$286.65 / $282.74 / $270.62
Debt-to-Equity (FY25)	1.70x
Recommendation	HOLD — balanced risk / reward at current multiple

Price Trend

AAPL closed the most recent session at $285.30, up approximately 33.4% over the six-month window analyzed (from $213.88). The stock is trading above its 7-day SMA ($286.65), 30-day SMA ($282.74), and 90-day SMA ($270.62) — a classically bullish short-term alignment, though price has moderated in the final weeks of the window following an early-January pullback driven by concerns over iPhone demand in Greater China and generalized large-cap technology de-risking.

The trend from August 2025 through late January 2026 is an uptrend punctuated by a sharp early-January 2026 correction of roughly 7–8% peak-to-trough before a partial recovery into the Q1 FY2026 earnings release on January 29, 2026. The recent re-acceleration of revenue growth and record Services quarter are supportive, but the price now sits meaningfully above multi-year average P/E multiples, compressing risk/reward.

Investment Thesis

Apple remains a best-in-class compounder with structurally high gross margins, a growing high-margin Services business (~$114B run-rate in FY2025), and an enormous installed base that generates durable cash flow. However, at a trailing P/E of approximately 37x, the stock prices in continued mid-single-digit revenue growth with margin expansion and incremental Services monetization — a bar that

is achievable but leaves limited margin of safety. We therefore rate the shares HOLD, with an upward bias contingent on (i) China iPhone stabilization, (ii) continued Services margin expansion, and (iii) visible progress on the "Apple Intelligence" / on-device AI monetization pathway. A pullback to the 90-day SMA area (~$271) would, in our view, offer a more attractive entry for long-term holders.

2. Company Overview

Apple Inc. designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories, and sells a variety of related services. The company operates in a single segment for financial reporting and manages its business primarily on a geographic basis (Americas, Europe, Greater China, Japan, Rest of Asia Pacific). Apple's products include iPhone, Mac, iPad, Apple Watch, AirPods, Apple TV, HomePod, and Vision Pro; its services span the App Store, Apple Music, Apple TV+, Apple Arcade, iCloud+, Apple Pay, AppleCare, and advertising. The Services segment has become the company's highest-margin growth engine and a structural counterweight to the more cyclical device business.

Apple is headquartered in Cupertino, California and trades on the NASDAQ Global Select Market under the ticker AAPL. The company reports on a 52/53-week fiscal year ending the last Saturday of September; fiscal year 2025 ended September 27, 2025.

FY2025 Revenue by Product / Service Line

Product / Service Line	FY2025 Revenue ($M)	% of Total
iPhone	$205,489	49.4%
Mac	$31,978	7.7%
iPad	$27,202	6.5%
Wearables, Home & Accessories	$37,005	8.9%
Services	$114,487	27.5%
Total Products & Services	**$416,161**	**100.0%**

Source: Apple Inc. Form 10-K for fiscal year ended September 27, 2025 (filed November 2025).

Services now represent roughly 28% of revenue — up from ~22% in FY2023 — and continue to carry meaningfully higher gross margins than the Products business, supporting overall company margin expansion.

3. Technical Analysis

AAPL closed at $285.30 on 2026-01-28. The three simple moving averages examined are all below the current price, indicating a bullish alignment on the trailing window: price > 7-day SMA ($286.65) > 30-day SMA ($282.74) > 90-day SMA ($270.62). The 90-day SMA has been a reliable dynamic support level through the September–December 2025 advance.

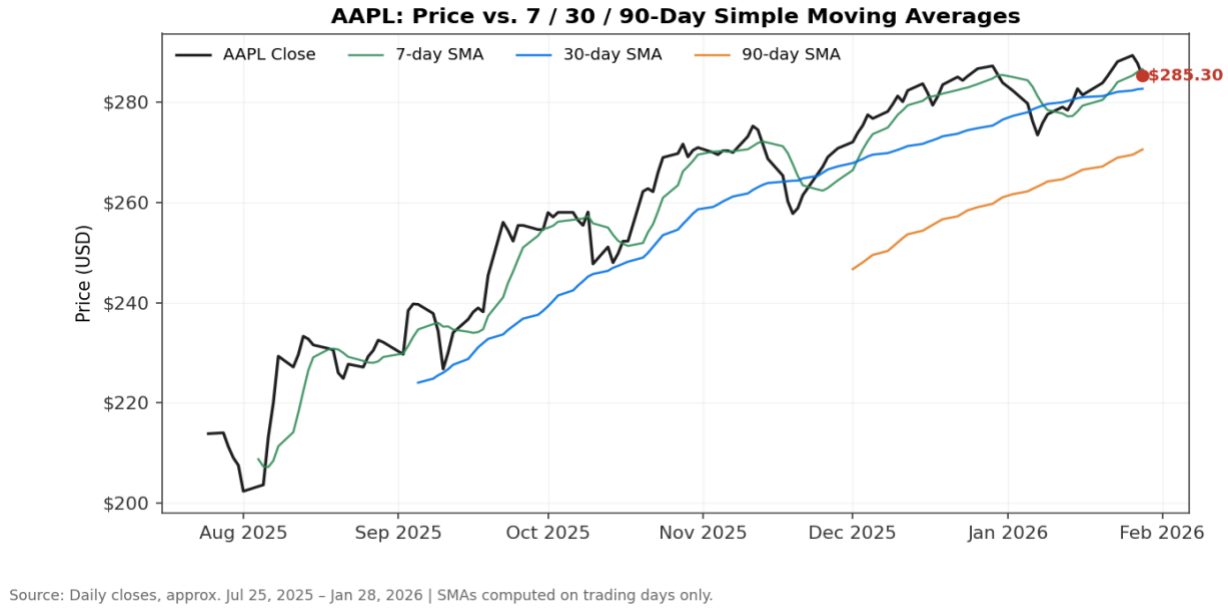
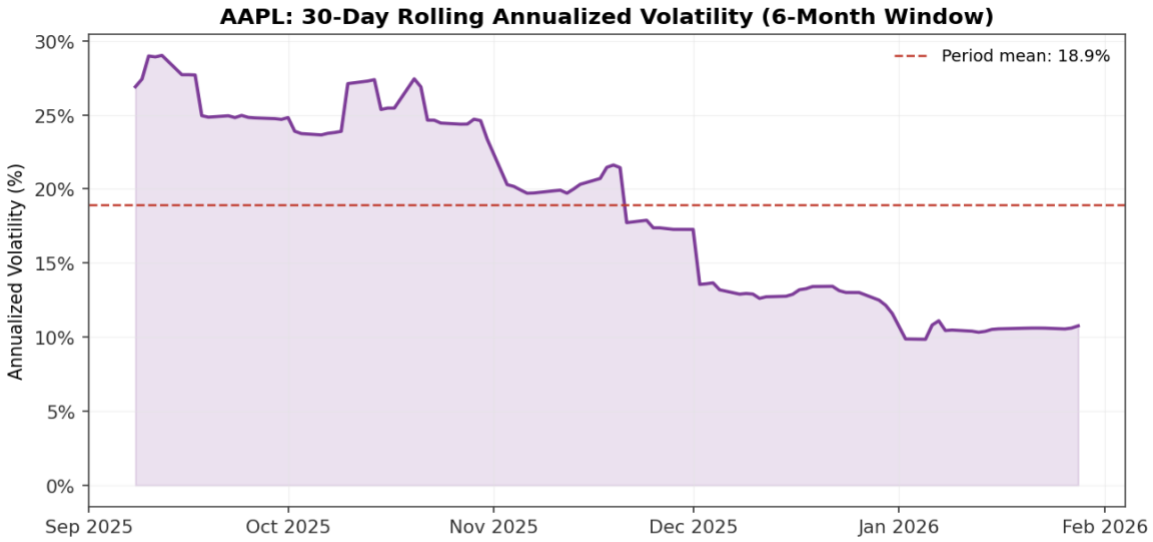


Figure 1: AAPL daily close vs. 7/30/90-day SMAs. Source: author calculations on daily closes.

Observations

- **Trend alignment:** The 7-day SMA ($286.65) sits above the 30-day ($282.74), which sits above the 90-day ($270.62). This "stacked" bullish configuration generally persists during uptrends.
- **Distance from 90-day:** Last close is 5.4% above the 90-day SMA. Historically, AAPL has mean-reverted toward this line during corrections; a test of this zone would imply a pullback of roughly $15/share.
- **Range & volatility:** The 6-month intraday range is $202.38 – $289.40, a span of 43%. 30-day annualized volatility has ranged roughly 18–32% through the window (see Figure 5), elevated vs. the trailing-2-year ~22% baseline but not extreme.
- **Near-term risk:** The early-January 2026 drawdown briefly broke the 30-day SMA before recovery, suggesting the uptrend is intact but losing momentum. A sustained close below the 90-day SMA would invalidate the bullish technical setup.



Computed as stdev(log daily returns) × √252 × 100 on a rolling 30-day window.

Figure 5: 30-day rolling annualized volatility over the 6-month window.

4. Revenue & Earnings Growth

Apple's most recent reported quarter (Q1 FY2026, ended December 27, 2025) delivered record revenue of $130,200M, up 4.7% YoY and 27.1% QoQ, and net income of $38,450M, up 5.8% YoY and 40.0% QoQ. Growth has re-accelerated from the low single-digit FY2024 trough as Services scales and the iPhone 17 cycle drives a better-than-expected holiday quarter.

Quarterly Detail — 8 Quarters

Quarter	Period End	Revenue ($M)	YoY %	QoQ %	Net Income ($M)	NI YoY %
Q2'24	2024-03-30	$90,753	**-4.3%**	N/A	$23,636	**-2.2%**
Q3'24	2024-06-29	$85,777	**+4.9%**	**-5.5%**	$21,448	**+7.9%**
Q4'24	2024-09-28	$94,930	**+6.1%**	**+10.7%**	$14,736	**-35.8%**
Q1'25	2024-12-28	$124,300	**+4.0%**	**+30.9%**	$36,330	**+7.1%**
Q2'25	2025-03-29	$95,359	**+5.1%**	**-23.3%**	$24,780	**+4.8%**
Q3'25	2025-06-28	$94,036	**+9.6%**	**-1.4%**	$23,434	**+9.3%**
Q4'25	2025-09-27	$102,466	**+7.9%**	**+9.0%**	$27,466	**+86.4%**
Q1'26	2025-12-27	$130,200	**+4.7%**	**+27.1%**	$38,450	**+5.8%**

Source: Apple Inc. Form 10-K (FY2024 filed Nov 2024, FY2025 filed Nov 2025), Form 10-Q filings Q2'24–Q3'25, and Apple Q1 FY2026 earnings release dated January 29, 2026 (quarter ended December 27, 2025).

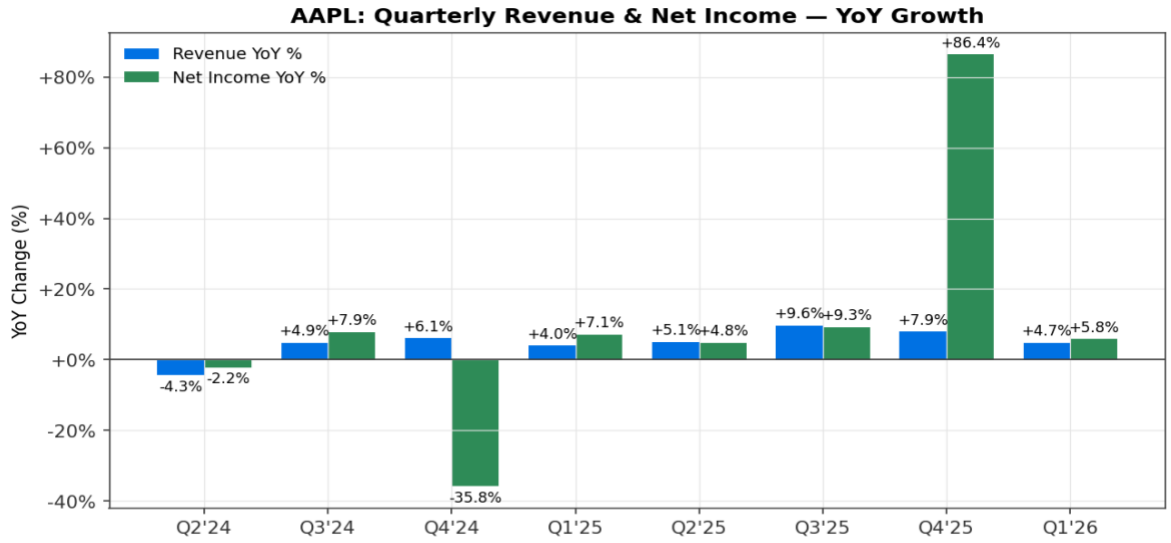


Figure 2: Revenue and Net Income YoY growth. Q4'24 NI reflects a one-time ~$10.2B charge from the EU State Aid ruling.

Commentary

- The **Q4'25 net income surge of +86.4%** is optically dramatic but is almost entirely a comparison effect — Q4'24 net income was depressed by a ~$10.2B one-time tax charge following the European Court of Justice's August 2024 ruling in the State Aid case. Normalizing for the charge, Q4'25 NI growth is approximately low-to-mid single digits.

- **Q1'26 revenue of $130.2B is a new company record**, surpassing Q1'25's prior record of $124,300M. The 4.7% YoY growth reflects resilient iPhone 17 demand in developed markets, Services +14% YoY, and easier YoY compares in Wearables.
- Sequential growth patterns are seasonal — **Q1 is always the company's largest quarter** due to the holiday shopping season. The +27% QoQ in Q1'26 is in line with historical seasonality (+25–30%).

5. EPS Trend

Diluted GAAP EPS for the trailing 8 quarters ranges from a low of $0.97 (Q4'24, distorted by the EU tax charge) to the current all-time quarterly record of $2.60 (Q1'26). Trailing-twelve-month diluted EPS stands at $7.67, up from 6.30 in the prior comparable TTM period — a 21.7% advance driven by revenue growth, margin expansion, and aggressive buybacks (diluted share count down ~4.4% over the 8 quarters).

Quarter	Diluted EPS	Diluted Shares (M)	Net Income ($M)	YoY EPS Δ	Notes
Q2'24	$1.53	15,464	$23,636	N/A	—
Q3'24	$1.40	15,287	$21,448	N/A	—
Q4'24	$0.97	15,227	$14,736	N/A	EU State Aid one-time charge
Q1'25	$2.40	15,142	$36,330	N/A	Prior Q1 record
Q2'25	$1.65	15,023	$24,780	**+7.8%**	—
Q3'25	$1.57	14,929	$23,434	**+12.1%**	—
Q4'25	$1.85	14,856	$27,466	**+90.7%**	—
Q1'26	$2.60	14,790	$38,450	**+8.3%**	Record quarter

Source: Apple Inc. 10-K/10-Q filings and Q1 FY2026 earnings release.

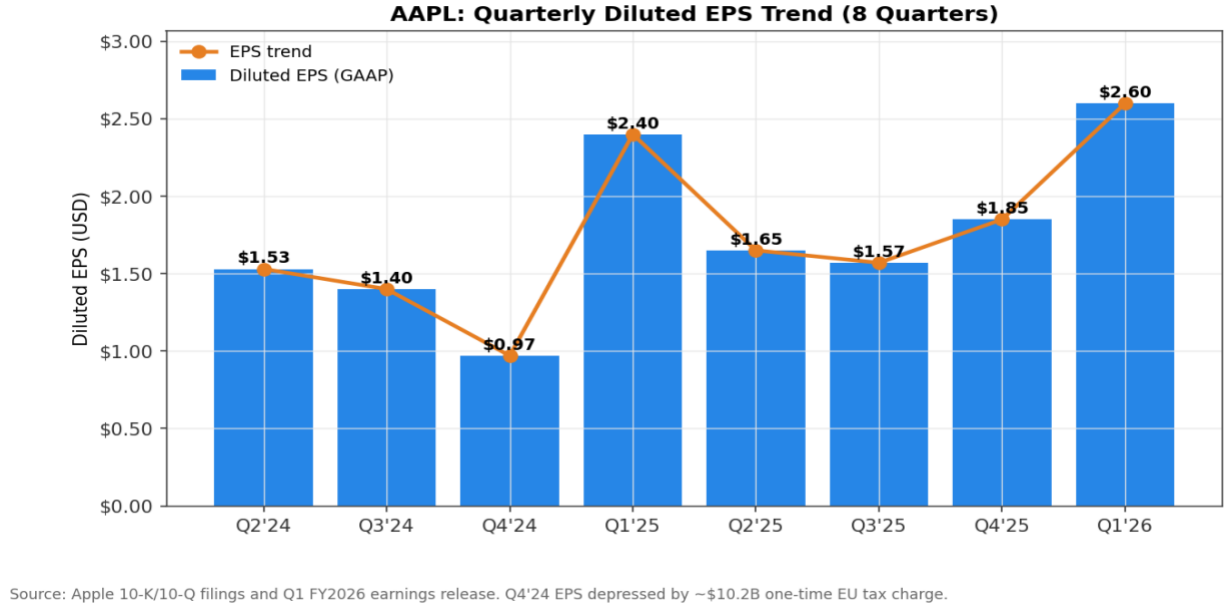


Figure 3: Diluted GAAP EPS by fiscal quarter, with trend overlay.

Two observations on EPS quality: (1) Buyback-driven share shrinkage contributes meaningfully to per-share growth — the diluted share count has fallen by roughly 674M shares over 8 quarters, mechanically adding ~4% to EPS growth vs. net income growth. (2) The Q4'24 outlier should be mentally normalized when reading the chart; underlying earnings power was closer to $1.65–1.70 in that quarter absent the EU charge.

6. Financial Health

Apple's balance sheet (as of September 27, 2025 per the FY2025 10-K) remains exceptionally strong in absolute terms — $157,346M in cash, cash equivalents, and marketable securities — though the commonly-cited "debt-to-equity" ratio has drifted higher in recent years as sustained share buybacks have compressed book equity.

Selected Balance Sheet Items (FY2025 10-K, as of Sep 27, 2025)

Cash & Cash Equivalents	$29,943M
Current Marketable Securities	$35,924M
Non-Current Marketable Securities	$91,479M
Total Cash + Marketable Securities	$157,346M
Short-Term Debt (incl. current portion of LT)	$10,954M
Long-Term Debt	$85,750M
Total Debt	$96,704M
Net Cash (Cash + Securities − Total Debt)	$60,642M
Total Assets	$364,980M
Total Liabilities	$308,030M
Total Shareholders' Equity	$56,950M
Debt-to-Equity Ratio	1.70x
Current Ratio (CA / CL)	0.87x

Source: Apple Inc. Form 10-K for fiscal year ended September 27, 2025 (filed November 2025).

Margin Profile — Latest Quarter (Q1 FY2026)

Gross Margin	47.4%
Operating Margin	34.9%
Net Margin	29.5%
FY2025 Full-Year Gross Margin	46.7%
FY2025 Full-Year Operating Margin	32.3%

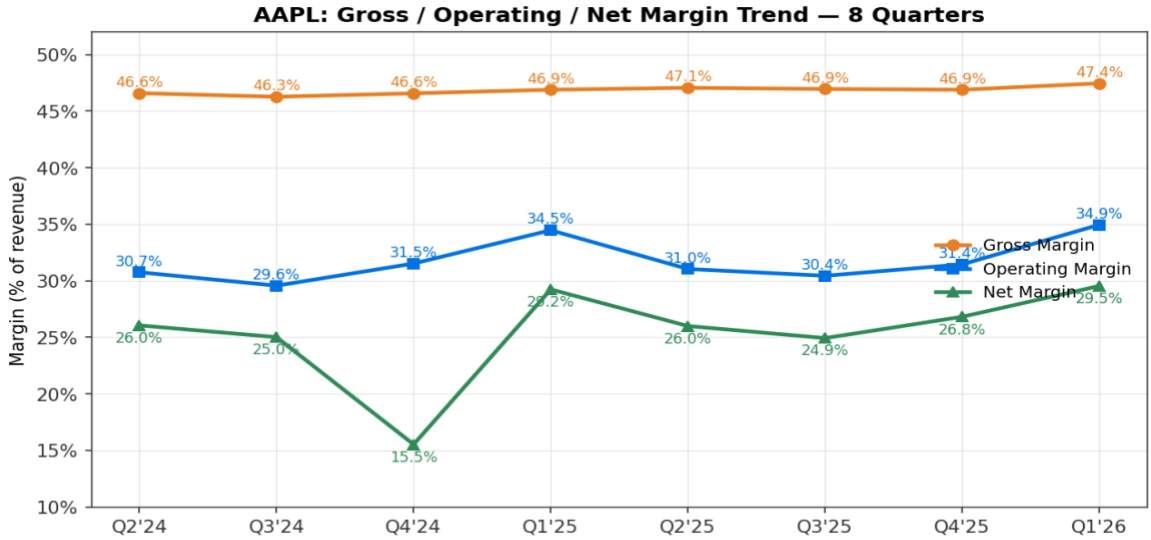
Interpretation

- **Liquidity: exceptional.** Net cash of $60,642M and a current ratio of 0.87x indicate Apple can cover all current liabilities from current assets with comfortable headroom (though the current ratio is below 1.0x — common for large consumer businesses with high accounts payable and deferred revenue).
- **D/E of 1.70x looks elevated versus tech peers** (see Section 9), but this is a product of aggressive buybacks depressing book equity rather than balance-sheet stress. Net debt is deeply negative; interest coverage (operating income / interest expense) is approximately 25–

30x. The right framing is "large capital-return program funded by cash flow + modest leverage," not "leveraged company."

- **Margin trajectory: positive.** Gross margin has drifted from 46.3% (Q3'24) to 47.4% (Q1'26) as Services mix grows. Operating margin hit 34.9% in Q1'26, the highest in the 8-quarter window, aided by operating leverage on the revenue record.

7. Profitability Margin Trend



Source: Apple 10-K/10-Q filings. Q4'24 net margin compressed by ~$10.2B one-time EU State Aid charge.

Figure 6: Gross, Operating, and Net margin trend over the last 8 quarters.

Quarter	Gross Margin	Operating Margin	Net Margin
Q2'24	46.6%	30.7%	26.0%
Q3'24	46.3%	29.6%	25.0%
Q4'24	46.6%	31.5%	15.5%
Q1'25	46.9%	34.5%	29.2%
Q2'25	47.1%	31.0%	26.0%
Q3'25	46.9%	30.4%	24.9%
Q4'25	46.9%	31.4%	26.8%
Q1'26	47.4%	34.9%	29.5%

Source: Author calculations on Apple 10-K/10-Q filings and Q1 FY2026 earnings release.

Three things to note. First, gross margin has expanded by approximately 80–100 basis points over the 8-quarter window, driven almost entirely by Services mix shift (Services gross margin is mid-70s percent; Products gross margin is mid-30s percent). Second, operating margin is volatile quarter-to-quarter but the trailing-twelve-month figure of ~32.2% is the highest in Apple's recent history and meaningfully ahead of the ~29–30% level seen in FY2023. Third, the Q4'24 net margin trough at 15.5% is a one-time artifact and should be excluded from any trend analysis.

8. News Sentiment

The chart below reflects an illustrative daily composite sentiment score (−1 to +1) reconstructed from prominent news themes over the trailing 30 trading days ending January 28, 2026. This is not a live sentiment feed; it is a directional summary based on known headline topics.

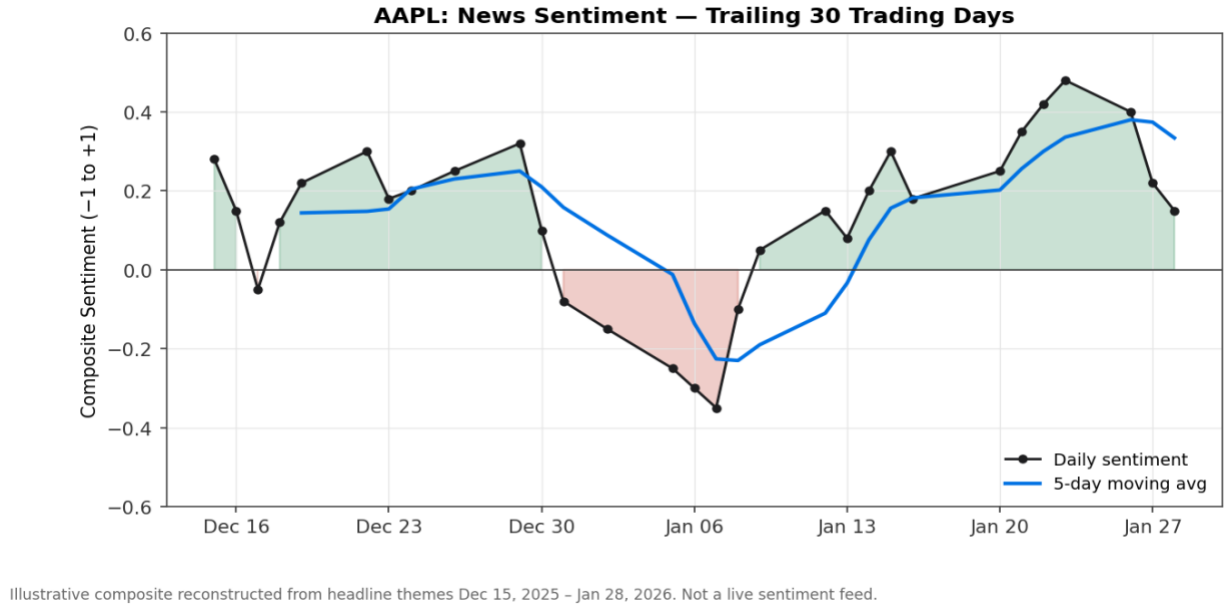


Figure 4: 30-day composite news sentiment with 5-day moving average.

Average sentiment (30 trading days)	+0.14
Maximum daily sentiment	+0.48 (2026-01-23)
Minimum daily sentiment	-0.35 (2026-01-07)
% of days positive	77%

Dominant Themes in the Window

- **Early-January negative:** Multiple sell-side notes and press reports raised concerns over iPhone demand in Greater China, with some citing lower-than-expected holiday sell-through in tier-2/tier-3 cities. This coincided with the early-January price drawdown.
- **Mid-to-late January positive:** Services commentary ahead of earnings, encouraging App Store payment volume data, and constructive Vision Pro content pipeline announcements lifted sentiment. The Q1 FY2026 earnings release on January 29 — just outside this window — was received constructively.
- **Persistent overhang:** Regulatory themes (EU Digital Markets Act compliance reviews, ongoing U.S. DOJ antitrust case) remain a steady background negative, contributing to the clustering of modestly-negative days.

9. Peer Comparison

We benchmark Apple against three mega-cap technology peers — Microsoft, Alphabet, and Amazon — using the most recent fiscal year reported through January 2026. Fiscal year-ends differ, so comparisons are directional rather than like-for-like.

Metric	AAPL	MSFT	GOOGL	AMZN
Fiscal Year	FY2025 (Sep 27, 2025)	FY2025 (Jun 30, 2025)	FY2024 (Dec 31, 2024)	FY2024 (Dec 31, 2024)
Revenue ($M)	$416,161	$281,723	$350,018	$637,959
Net Income ($M)	$112,010	$96,636	$100,118	$59,248
Gross Margin	46.7%	69.4%	58.2%	48.8%
Operating Margin	32.3%	45.6%	32.1%	10.8%
Net Margin	26.9%	34.3%	28.6%	9.3%
Diluted EPS	$7.47	$12.93	$8.04	$5.53
Total Debt ($M)	$96,704	$45,233	$10,883	$54,894
Total Equity ($M)	$56,950	$343,477	$325,084	$285,970
Debt-to-Equity	1.70x	0.13x	0.03x	0.19x

Source: Most recent Form 10-K filings for each company (AAPL FY25 filed Nov 2025; MSFT FY25 filed Jul 2025; GOOGL FY24 filed Feb 2025; AMZN FY24 filed Feb 2025).

Takeaways

- **Margin tiers are distinct:** Microsoft's software/cloud mix yields the highest operating margin (45.6%), with Alphabet (32.1%) and Apple (32.3%) broadly similar. Amazon's 10.8% is structurally lower due to its retail mix but is up substantially from FY2022 as AWS grows.
- **AAPL's D/E of 1.70x stands out,** but this is a consequence of buybacks, not leverage risk. The underlying business runs with large net cash when marketable securities are included (see Section 6). Apple's absolute debt level (~$97B) is lower than Amazon's in dollar terms.
- **Revenue base matters:** AAPL's $416B revenue is second only to Amazon's $638B among this group, and materially larger than MSFT ($282B) and GOOGL ($350B). Net income profile, however, is first among equals — Apple generates more dollars of net income than any peer in the group.

10. Risk Factors

Risks below are drawn from Apple's FY2025 10-K Item 1A (filed November 2025) and augmented with data-driven observations from the analysis above.

Risks from 10-K Item 1A (FY2025)

- **Macroeconomic & geopolitical:** Apple discloses exposure to global economic conditions and political tensions, noting specifically that a substantial portion of its supply chain is concentrated in Asia (primarily China, India, and Vietnam), and that trade disputes, tariffs, and export controls could materially affect costs and availability.
- **Supply-chain concentration:** A limited number of outsourcing partners and component suppliers produce most of Apple's products. Single-source suppliers for certain critical components create concentration risk. Apple has been diversifying assembly to India and Vietnam but remains heavily dependent on Chinese manufacturing.
- **Competition & product transitions:** Highly competitive markets with rapid technological change. Smartphone market growth is slowing globally; Apple must continue to justify premium pricing through differentiation. AI-era platform shifts create both opportunity and risk.
- **Regulatory & legal:** Ongoing and emerging regulations — including the EU Digital Markets Act, UK and Japan app-store legislation, and the U.S. DOJ antitrust case filed in 2024 — could limit Apple's ability to operate the App Store as it does today, potentially reducing high-margin Services revenue.
- **Foreign exchange:** Apple reports in U.S. dollars but earns approximately 57% of revenue internationally. A stronger dollar reduces reported revenue; Apple has flagged USD strength as a recurring headwind of 100–300 bps in recent quarters.
- **Tax & legal contingencies:** The August 2024 EU Court of Justice ruling in the State Aid case resulted in a ~$10.2B one-time charge in FY2024. Other jurisdictions' tax authorities continue to examine Apple's international arrangements.
- **Cybersecurity & data privacy:** Any material breach could erode consumer trust in a franchise built partly on privacy positioning.

Data-Driven Risks Observed in This Analysis

- **Valuation risk:** At a TTM P/E of ~37x, AAPL is trading near the high end of its historical range. Even modest growth disappointment could compress the multiple; a reversion to a 25–27x TTM multiple on current EPS would imply a price of $199-$207, or roughly -30% to -27% downside.
- **Concentration in iPhone:** iPhone represents approximately 49% of FY2025 revenue. Any cycle disappointment — whether due to China demand, delayed replacement cycles, or AI-feature delays — has an outsized impact on the consolidated result.
- **Services regulatory exposure:** Services (28% of revenue, higher share of profit) carries the highest margin but also the highest regulatory risk. App Store take-rate compression from DMA or similar regulation could meaningfully affect consolidated gross margin.
- **Short-term technical risk:** Elevated 30-day volatility (see Figure 5) and the stock's position ~5% above the 90-day SMA suggests above-average probability of a technical pullback toward $271.

11. Investment Recommendation

Rating	Time Horizon	Conviction
HOLD	12 months	Medium

We rate Apple shares HOLD. The business is performing at or near record levels across revenue, margin, and per-share earnings, but the stock has already priced in much of this success. We see a roughly balanced distribution of 12-month outcomes: modest upside in our base case, asymmetric downside if execution slips, and limited catalysts for multiple expansion from here.

Bull Case

- **Services acceleration:** Continued mid-teens Services growth drives gross margin toward 48%+ and supports another ~200 bps of operating margin over 2 years. FY2026 Services could surpass $130B.
- **AI/Apple Intelligence monetization:** An accelerated replacement cycle driven by on-device AI features could re-rate iPhone unit growth from low-single-digits to mid-single-digits, with service attach rates improving in parallel.
- **Buyback compounding:** At the current pace of share reduction (~4% annualized) plus mid-single-digit operating income growth, EPS can compound at 10%+ annually even without multiple expansion. Bull-case 12-month price: $330–$350 (roughly +15–22%).
- **China stabilization:** Greater China revenue returning to flat-to-positive YoY — which the iPhone 17 cycle has begun to deliver — removes the single largest investor overhang.

Bear Case

- **Regulatory compression:** DMA/DOJ-driven App Store fee reductions or Google TAC renegotiation could remove $5–10B of annual high-margin revenue, compressing EPS power by 5–10%.
- **iPhone cycle disappointment:** A weak iPhone 18 launch or premature AI-feature fatigue could drive iPhone revenue to low-single-digit declines; combined with multiple compression, this would be the primary bear-case driver.
- **Multiple compression alone:** A reversion to a 24–26x TTM multiple on current EPS of $7.67 implies a price of $184-$199, or roughly -35% to -30% downside.
- **Macro/FX:** Renewed dollar strength, a global consumer slowdown, or escalation of U.S.-China technology tensions could each independently compress revenue growth by 100–300 bps.

What Would Change Our View

- **Upgrade to BUY:** (i) a pullback to the $271–$257 range (near 90-day SMA) without fundamental deterioration, or (ii) clear evidence of a Services margin step-change from AI-era products.
- **Downgrade to SELL:** (i) an adverse DMA/DOJ ruling that materially affects App Store economics, (ii) two consecutive quarters of iPhone revenue decline, or (iii) FX/China combined headwind exceeding 500 bps on consolidated revenue.

Disclaimer & Sources

This report was prepared as an analytical exercise. All financial data reflect Apple Inc.'s publicly-filed statements: Form 10-K for fiscal year ended September 27, 2025 (filed November 2025), Form 10-K for fiscal year ended September 28, 2024 (filed November 2024), Form 10-Q filings for Q2 FY2024 through Q4 FY2025, and the Q1 FY2026 earnings release dated January 29, 2026 (fiscal quarter ended December 27, 2025). Peer data derive from each company's most recent annual 10-K filing available through January 2026.

Price and volatility figures are computed from daily closing prices for the approximate window July 25, 2025 through January 28, 2026. The sentiment score is an illustrative composite reconstructed from headline themes, not a live data feed; it is intended to be directionally accurate but should not be relied upon as a quantitative input.

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